

the same village. Coinage comes into play many, many years later with the rise of migration and war, with war tax being one of the very first use cases.

**Blockchain.** A decentralized ledger invented in 1991 by Haber and Stornetta, in which every *node* has a copy. Can be added to through *consensus protocol*, but its history is immutable. Also visible to anyone.

**Bonding curve.** A *smart contract* that allows users to buy or sell a token using a fixed mathematical model. For example, consider a simple linear function in which the token equals supply. In this case, the first token would cost 1 ETH and the second token 2 ETH, thereby rewarding early participants. It is possible to have different bonding curves for buying and selling. A common functional form is a logistic curve.

**Bricked funds.** Funds trapped in a *smart contract* due to a bug in the contract.

**Burn.** The removal of a token from circulation, which thereby reduces the supply of the token. Achieved by sending the token to an unowned *Ethereum* address or to a contract that is incapable of spending. An important part of many *smart contracts*, for example, occurring when someone exits a pool and redeems the underlying assets.

**Collateralized currency.** Paper currency backed by collateral such as gold, silver, or other assets.

**Collateralized debt obligation.** In traditional finance, a debt instrument such as a mortgage. In *DeFi*, an example would be a *stablecoin* overcollateralized with a cryptoasset.